

LOAN UNDERWRITING POLICY

Credit Underwriter AI | Enterprise Portfolio Knowledge Base

Document ID	CUAI-LP-001
Version	1.0
Classification	Internal Use Only
Effective Date	01 August 2026
Owner	Credit Risk & Underwriting
Review Cycle	Annual or on material change

1. Purpose

Establish a complete, consistent and explainable framework for evaluating loan applications from intake through approval, rejection or manual review.

2. Scope

This fictional internal policy is designed for the Credit Underwriter AI portfolio project. It supports automated underwriting, human review, auditability and policy-aware AI explanations. It is not a policy of any real financial institution.

3. Underwriting Principles

- Evidence first: material decisions must be traceable to verified application data, documents, model outputs or policy evidence.
- Affordability before exposure: repayment capacity and existing obligations must be considered before approving the requested amount.
- Risk-based processing: controls and review depth increase with risk, data-quality issues and exceptions.
- Segregation of duties: automated recommendations do not replace authorized human approval.
- Explainability: every material decision should have a machine-readable reason code and human-readable rationale.
- Exception governance: policy overrides require explicit authority, reason, evidence and audit trail.

4. Eligibility Framework

Control	Illustrative Policy	Outcome
Age	18+ at application; maximum age at maturity configured by product	Outside rule → Manual Review/Reject
Identity	Valid identity/KYC evidence required	Missing/failed → Manual Review
Income	Stable verifiable income appropriate to product	Unverified → Manual Review
Employment	Employment/business information must be consistent with evidence	Mismatch → Manual Review
Credit history	Available credit information assessed where applicable	Adverse/insufficient → Risk assessment
Existing obligations	Documented obligations included in affordability calculation	Unverified → Conservative treatment
Purpose	Declared purpose required where product requires it	Missing → Manual Review

5. Affordability Controls

Metric	Illustrative Band	Treatment
DTI/FOIR	≤40%	Standard processing if all checks pass
DTI/FOIR	>40%–50%	Enhanced review
DTI/FOIR	>50%	Manual review unless approved

		exception
Income mismatch	Any material unexplained mismatch	Manual review
Negative disposable income	Any	Reject or manual assessment depending on product policy

6. Risk Bands

Risk Category	Score	Treatment
Low	0–29	Standard processing subject to other checks
Medium	30–59	Additional scrutiny; warnings may trigger manual review
High	60–100	Enhanced underwriting and mandatory manual review

7. Document Rules

- Critical documents must be present, readable, current and attributable to the applicant.
- OCR extraction is a processing aid and must not be treated as authoritative without validation.
- Conflicting values across documents must generate a verification exception.
- Suspected tampering, manipulation or synthetic-document indicators must be routed to Fraud Detection.
- Bank statements and income evidence must be assessed for consistency, continuity and unexplained anomalies.

8. Decision Outcomes

- Approve
- Reject
- Manual Review
- Conditional Approval where configured and explicitly authorized

9. Mandatory Escalation Triggers

- High risk category; unresolved KYC/identity issue; material income mismatch; material fraud indicator; policy warning; missing critical evidence; conflicting documents; affordability breach; approval-authority exception; model/data-quality failure.

10. AI Decision Controls

- AI agents may recommend, classify, summarize and explain but must not silently override deterministic policy controls.
- AI-generated explanations must use application facts and retrieved policy evidence.
- Policy changes must be versioned and linked to the policy version used at decision time.
- Human override requires reason, approver identity/role, timestamp and supporting evidence.

11. Audit Record

- Application snapshot
- Document references
- Agent outputs
- Model version
- Risk score/probability
- Fraud score
- Policy version
- Retrieved evidence

- Decision/reason codes
- Approver/override data
- Notification event

Document Control

Version	Date	Change
1.0	01 August 2026	Initial enterprise-style portfolio knowledge-base document

Important Disclaimer

All numeric thresholds, approval limits, scoring bands and operating procedures in these internal documents are illustrative project controls. They must not be presented as universal regulatory requirements. Regulatory content is maintained separately in the RBI Guidelines document and should be refreshed from authoritative RBI sources before any real-world use.